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US Economic Update: September 14, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	10-Sep-26	4-Sep-26	3-Sep-26	2-Sep-26	1-Sep-26	27-Aug-26
	4.4	4.6	4.7	4.7	4.8	4.4

Treasury yields go up as inflation concerns rise

Bond markets are under pressure with the 10-year US Treasury yield rising to 4.97% on September 11, close to its most recent peak of October 2023. The 30-year yield climbed to 5.35%, the highest in nearly 19 years. Yields rose despite the Treasury Secretary Scott Bessent's announcement last Wednesday of a $6 billion program to buy longer duration Treasury securities. The 10-year Treasury yield influences borrowing costs for consumer debt like mortgages, auto loans, and credit card debt. Rising yields will therefore push consumer interest rates up. The 30-year fixed mortgage rate, for example, has been rising steadily in 2026 and was 6.85% toward the end of last week. This, in turn, will continue to weigh on housing demand and supply. Existing home sales, for example, fell 2% in August, following a 1.7% decline in the previous month. So, what's pushing Treasury yields up?

First, as hostilities restart in the Middle East, including damage to oil tankers and energy facilities in the region, oil prices have risen. The price of Brent ended September 11 at US$104.6 a barrel, up about 48% since the start of the Iran conflict. Today, Brent price has crossed US$108 per barrel in Asian and European trading. Rising energy prices have raised expectations of higher inflation: The University of Michigan's one year ahead expected inflation rose to 4.6% in September, thereby pushing consumer sentiment down.

Second, the latest surge in oil prices comes at a time when inflation is already high relative to the Fed's 2% target. In August, the Bureau of Labor Statistics' consumer price index rose 0.4% from the previous month, aided by a 2.1% rise in prices of energy goods. Compared to a year ago, consumer prices were up 3.4% in August (also called inflation), unchanged from July. Production costs also went up in August: Producer prices for final demand rose 0.4% compared to the previous month and by 5.4% compared to a year ago. With prices pressures likely to remain elevated, financial markets are anticipating monetary policy tightening: Odds that the Fed will hike the federal funds rate by 25 basis points in its September meeting rose to 86% last week.

Third, worsening US fiscal health (US$40 trillion of federal government debt and an estimated 6% deficit) is worrying bond markets at a time when AI-related corporate debt is also vying for investors' attention. Also, the share of private investors in US Treasurys holdings has risen relative to that of long-term investors like foreign central banks, leaving yields more vulnerable to bond market sentiment.

Figure 1. The 10-year Treasury yield has gone up by about 80 basis points this year, thereby pushing up consumer interest rates

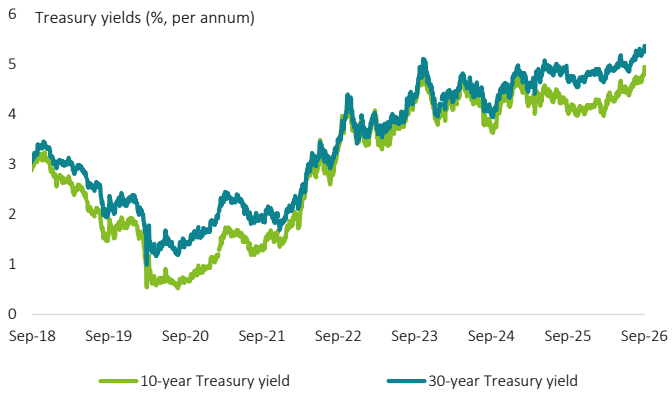


Figure 2. Headline inflation was 3.4% in August—unchanged from the previous month—and still much above the Fed's 2% target



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

Aug change	3-month avg ch	12-month avg ch	Trend
162,000	71,000	50,000	

Unemployment rate

Aug value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.1	0.0	-0.2	

Real disposable personal income

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.9	0.5	

Real personal consumer expenditure

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.8	2.1	

Nominal retail sales

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.6	0.6	5.0	

Conference Board consumer confidence index

Aug value	1-month ch	3-month ch	Trend
89.4	-0.8	-1.2	

Housing permits

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
4.3	0.7	2.4	

Manufacturing industrial production

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.4	1.2	

Shipments of core capital goods

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
1.2	3.8	10.4	

Trade balance

Jul value (US$ billion)	1-month ch	3-month ch	Trend
-88.6	-17.4	-35.7	

Real GDP

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
1.5	2.1	2.1	

Corporate profits

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
41.5	7.0	22.8	

Financial markets

Equity markets

S&P 500 on Sep 11	1-week ch (%)	1-year ch (%)	Trend
7657.0	-0.8	16.3	

Treasury yield spread (10 yr - 2 yr)

Spread on Sep 11	1-month ch(ppts)	3-month ch(ppts)	Trend
0.33	-0.15	-0.1	

CBOE volatility index (VIX)

VIX on Sep 11	1-week ch	4-week ch	Trend
15.8	1.3	1.2	

Kansas City Fed financial stress index (KCFSI)

Aug index	1-month ch	3-month ch	Trend
-1.0	-0.1	-0.1	

Inflation

Consumer price index (CPI)

Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.0	3.4	

Core CPI (CPI excluding food and energy)

Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.5	2.4	

Core PCE (PCE price index excluding food and energy)

Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.8	3.3	

Philadelphia Fed 10-year ahead inflation expectations

Q3 2026 (%, YoY)	Q2 2026	Q3 2025	Trend
2.3	2.4	2.3	

Sources: Haver Analytics; Deloitte analysis.